

Submission ACCT1-PS2-SUB01

Question ACCT1-PS2-Q01

scratch: show step

1. Dr Cash 399; Cr Service Revenue 399
2. Dr Supplies 508; Cr Accounts Payable 508
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.
=> FINAL: Dr Cash 399/Cr Revenue 399; Dr Supplies 508/Cr A/P 508; A=L+E remains balanced (check units/interpretation)

Question ACCT1-PS2-Q02

scratch: show step

1. Monthly revenue=739/6=123
2. Dr Unearned Revenue 123; Cr Service Revenue 123
3. Remaining liability=616
=> FINAL: Dr Unearned Revenue 123; Cr Revenue 123; liability=616 (check units/interpretation)

Question ACCT1-PS2-Q03

scratch: show step

1. Assets = Liabilities + Equity
2. Equity=2177-564=1613
3. The equation must balance after every recorded transaction.
=> FINAL: equity=\$1613; assets=liabilities+equity (check units/interpretation)

Question ACCT1-PS2-Q04

scratch: show step

1. Current ratio=1233/1096=1.12
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.
=> FINAL: current ratio=1.12; assets exceed liabilities if ratio>1 (check units/interpretation)

Question ACCT1-PS2-Q05

scratch: show step

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.
=> FINAL: record unearned revenue first; recognize revenue as performance occurs (check units/interpretation)

Question ACCT1-PS2-Q06

scratch: show step

1. Dr Cash 755; Cr Service Revenue 755
2. Dr Supplies 281; Cr Accounts Payable 281
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.
=> FINAL: Dr Cash 755/Cr Revenue 755; Dr Supplies 281/Cr A/P 281; A=L+E remains balanced (check units/interpretation)

Question ACCT1-PS2-Q07

scratch: show step

1. Monthly revenue= $914/6=152$

2. Dr Unearned Revenue 152; Cr Service Revenue 152

3. Remaining liability= 762

=> FINAL: Dr Unearned Revenue 152; Cr Revenue 152; liability= 762 (check units/interpretation)

Question ACCT1-PS2-Q08

scratch: show step

1. Assets = Liabilities + Equity

2. Equity= $1289-473=816$

3. The equation must balance after every recorded transaction.

=> FINAL: equity= $\$816$; assets=liabilities+equity (check units/interpretation)